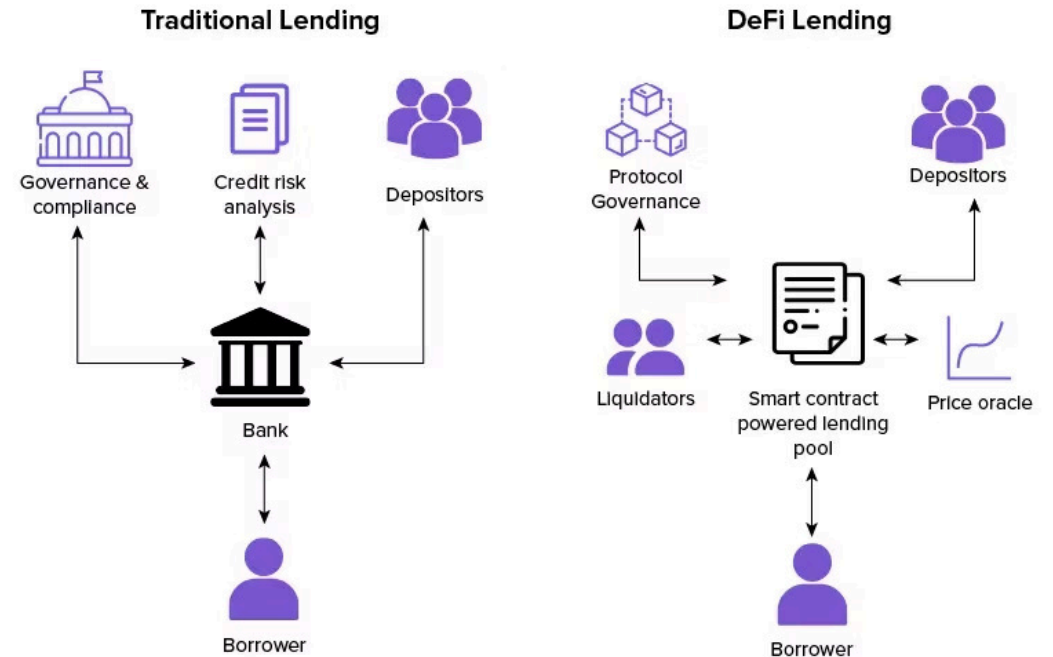


Lending Protocols in DeFi: A Primer

Discover how decentralised lending protocols function as the backbone of DeFi, offering new ways to earn interest and access liquidity without traditional intermediaries (Banks)

How is DeFi Lending Different from Traditional Lending?



appinventiv

How Lending Protocols Work

Decentralised Banks

Protocols are essentially autonomous, decentralised banks built on smart contracts, eliminating the need for traditional financial institutions.

Suppliers & Borrowers

Users supply assets (USDC, USDT, ETH, etc.) to earn interest, while others borrow assets using collateral, paying interest in return.

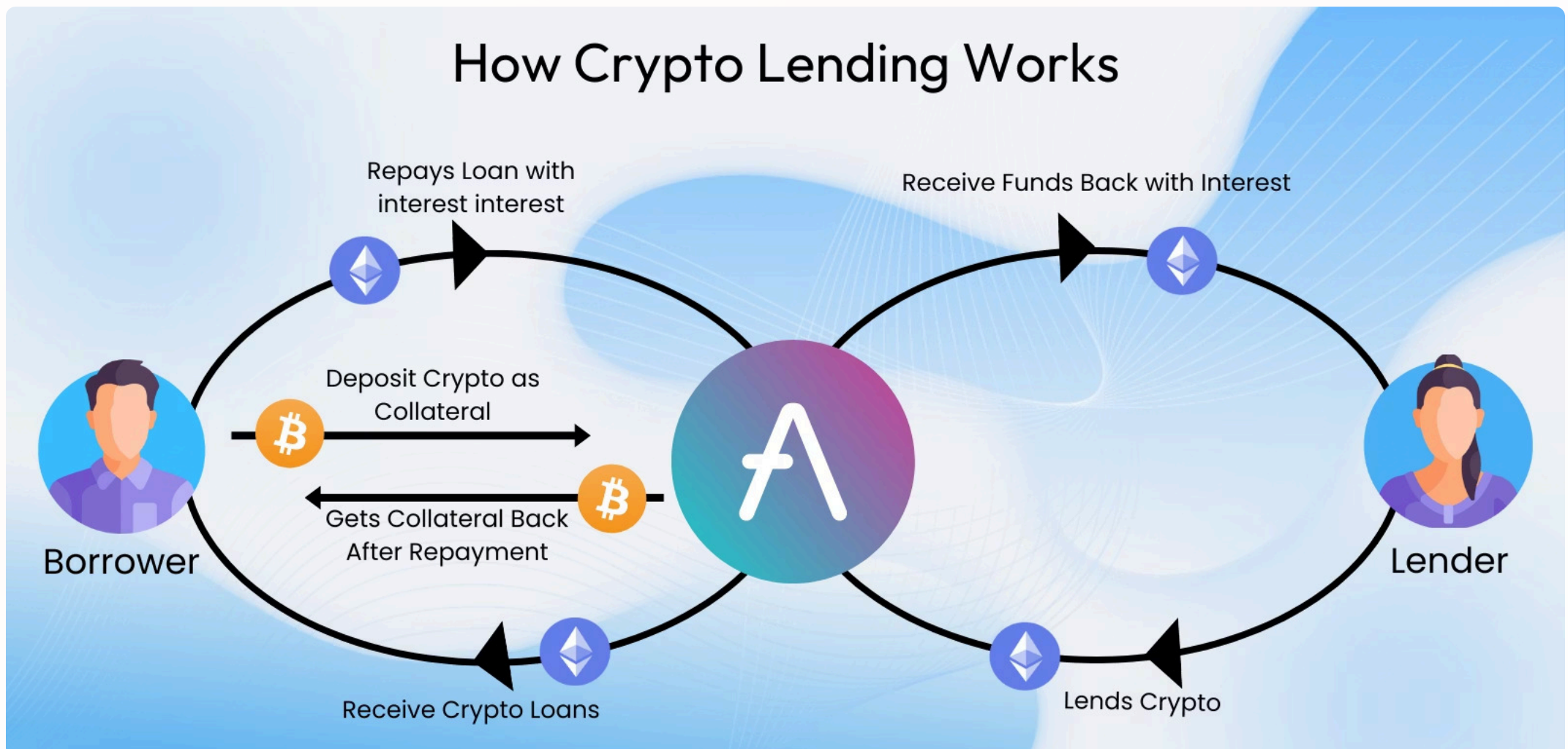
Algorithmic Rates

Interest rates are determined algorithmically based on supply and demand, ensuring efficiency and transparency.

Fully Automated

The entire process is automated by code, with no human intervention, ensuring trustless and efficient operations.

How Crypto Lending Works



Why Lending is Important

Lending protocols are a cornerstone of the DeFi ecosystem for several reasons:

- Creates liquidity in DeFi, allowing traders and other protocols to borrow instantly.
- Enables leverage, where users can borrow stablecoins against their BTC or ETH holdings.
- Offers stable yield for lenders, which is generally less volatile compared to other DeFi farming strategies.
- Considered safer relative to newer or more experimental DeFi strategies due to their maturity and audited codebases.



Real-Life Examples of Lending Platforms



Aave

One of the largest and most prominent lending protocols, supporting multiple chains and a wide array of assets including stablecoins, ETH, and wrapped assets. TVL 39.5 B\$ (biggest if DeFi)
Supports 19 chains



Compound

Among the oldest and most battle-tested lending protocols, known for its robust and reliable infrastructure. TVL of 2.7 B\$. Supports 10 chains



Fluid

Newer, great UI, supporting multiple chains and a wide array of assets with high TVL of 1.6 B \$. Supports 4 chains



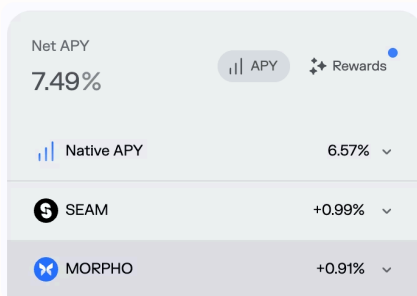
Jupiter

An excellent example of lending markets extending beyond the Ethereum ecosystem, demonstrating the multi-chain future of DeFi.
Supports 1 chain (SOL)

Yield Opportunities & Risks

Yield Opportunities

- **Stablecoins:** Generally offer 4-12% APR, with potential for higher rates in smaller, less liquid pools.
- **ETH or wBTC:** Typically yield 1-4% APR for supplying these major assets.
- **Borrowers:** Usually pay slightly higher rates (5-8%), which fluctuate based on asset utilisation, but due to always ongoing incentives from chains borrow APY can be smaller than supply APY (looping strategy)
- **Incentives:** Protocols often offer additional rewards in their native tokens to bootstrap liquidity and encourage participation. You can get incentives in different coins.
- Native APY (in stablecoin) + in SEAMcoin 1% and + 0.91% in MORPHO coin



Risks in Lending Markets

- **Liquidation Risk:** If your borrowed asset's price drops significantly, your collateral can be automatically liquidated to cover the loan. (is you use non-stables). For example, you supply 1 ETH worth \$3,000 and borrow 2,500 USDC. Your ETH acts as collateral, and if the ETH price falls to \$2,500, the smart contract will liquidate your position to cover potential losses.
- **Interest Rate Volatility:** Rates can experience sudden spikes during periods of high market stress or unexpected demand shifts. Usually for small amount of time.
- **Smart Contract Hacks:** Despite audits, protocols are vulnerable to exploits. At the beginning use highest TVL Dapps

Tools for Exploring Lending Yields

1

DeFiLlama (<https://defillama.com/>)

A comprehensive analytics dashboard to compare lending APYs across various chains and protocols.

2

Aave, Fluid, Compound Dashboard (just in app) (<https://aave.com/>)

Provides real-time data on utilisation rates and interest rates directly within the protocol interface.

3

Debank/Zapper (<https://debank.com/>)

Portfolio trackers that allow you to monitor your lending positions across different wallets and protocols.

Key Takeaways

Lending protocols offer compelling yield opportunities in DeFi. Always do your due diligence and use reliable tools to monitor your positions.